Causes & Effects of Change

Exam code: 9BS0

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Updated on 4 September 2025

Causes of change

- Businesses operate in a **continuously changing business environment**:
  - Changing **internal** factors such as business **growth**, new business **ownership** or internal **restructuring**
  - Changing **external** factors, such as changes to the **market** or **technological** advancements
- Whilst **consistency** or a lack of change might be easy options, most businesses will find it difficult to maintain a **competitive edge** without planning for and responding to change

Internal causes of change

Cause	Explanation

A change in business size	• Businesses are likely to **grow organically** as they **sell more** products
	  ○ They may create or expand **functional areas**, open **new premises** or introduce new **levels of supervision**
	• An increase in size may also come about when a firm **merges** or **takes over** another business
	  ○ Workforces, resources and capital will need to be **integrated**, and systems will likely need to be **streamlined**
	• A business may also become smaller as a result of **divestment** or as a result of market pressures
	  ○ **Redundancies** and the **sale of assets** may be required, or workers may need to **transfer** to other parts of the business

Poor performance	• A period of poor performance may mean that a business makes changes to its **leadership team** in order to pursue a new **direction**

Stuck on something?
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Got it

	Everton Football Club in early 2023. The team went on to win its next game against league leaders Arsenal • Change following poor performance needs to be **swift** to avoid problems setting in, such as the potential **loss of customers** and **reputational damage**
New ownership	• A change in ownership can bring significant change to the overall **aim** and **objectives** of the business ○ A new owner is likely to bring about **new policies**, attempt to make changes to a business's **culture** and bring **key personnel** to implement these changes
Transformational leadership	• In some cases, change can only be brought about by a **transformational leader** with a new **strategic direction** and **vision** for the business ○ Extensive changes are likely to be made to the business's **aims**, **objectives**, **structure** and **culture**
Business restructuring	• Changes to the structure of a business may be required as a result of an **expansion** or **contraction** of the business • A restructure may also be needed when a business **enters a new market**, changes its **scope of operations** or **integrates** with another business ○ E.g. as Frasers Group plc has taken over a string of struggling high street brands such as Debenhams and Missguided, significant changes have been made to the **managerial and operational structures** of the business to **reduce functional duplications** and **costs**

- External change **happens all the time**, and in many cases, **businesses can make plans** to respond if they keep a close eye on **PESTLE** factors (see subtopic 3.1.4)

External causes of change

Help me understand

Changes in the market	• A **new competitor** may enter the market, or **existing competitors may change their strategy** ◦ E.g. in the UK, established supermarkets such as Tesco and Sainsbury have responded to new discount entrants Aldi and Lidl by focusing on lowering prices and opening smaller stores
Social change	• Long-term changes to **consumption habits** as a result of social change can require a business to **refocus its business strategy** ◦ E.g. as the UK has an increasingly diverse population, food retailers now sell a wide range of foods from around the world and related products
Political change	• Periodic change in **political leadership** can require both short-term and longer-term business responses ◦ E.g. the Conservative Party's 2015 election pledge to hold a referendum on the UK's membership of the EU has had a significant impact on business, especially for those involved in the import and export of goods to and from the EU
Economic change	• Economic growth or contraction can impact the **demand for goods and services** and can be difficult to predict ◦ E.g. poor UK growth in recent years, combined with more recent high inflation, has squeezed households' disposable income and led to significant changes in consumers' purchasing priorities
Technological change	• Technological change has been **particularly rapid** over the last few decades, creating significant opportunities but also a need for businesses to adapt ◦ E.g. the growth in **online retailing** has allowed even the smallest of businesses to reach a larger number of customers, though traditional high street retailers have needed to adapt their supply chains and invest

Legal change	• Changes to the laws affecting businesses often **accompany political change** and require **adaptation** and **compliance** ○ E.g. the 2007 law banning smoking in indoor public spaces meant that many hospitality businesses, such as **pubs and restaurants**, were required to make adaptations to their premises, such as constructing all-weather outdoor facilities
Environmental change	• Environmental change is increasingly **associated with political change** and subsequent **changes to the law** • In recent years, numerous environmental issues have emerged, and increasingly, consumers expect businesses to respond to their concerns, even if they are short-lived ○ E.g. in response to environmental concerns about the impact of single-use plastics, the UK government introduced the "bag tax" in 2015, leading to a 97% reduction in their use and the development of a wide range of innovative alternatives, such as the corn starch bags provided by The Cooperative Group to shoppers

Possible effects of change

- Change can have **significant effects on the business** in the following areas:
  - Competitiveness
  - Productivity
  - Financial performance
  - Stakeholders

Competitiveness

- Change as a result of some internal factors (e.g. following poor performance or the arrival of a new leader) can **be rapid** and can lead to **swift improvements** in competitiveness
- Change as a result of external factors is **more likely to be gradual** and involve a business carefully selecting and pursuing an appropriate **long-term competitive strategy** (see Porter, subtopic 3.1.2)
- Research suggests that change has an overall **positive effect on business competitiveness** when it brings management and engaged employees together and their efforts are coordinated

employees get used to new processes, surroundings, leadership or a new product, **productivity** is **likely to be reduced**
- **Once changes are embedded**, productivity is likely to return to earlier levels and possibly **improve**, especially if **new technology** is part of the change
- During periods of **external change**, businesses may endure a period of **unstable levels of productivity** and must take steps to manage **capacity utilisation** and **unit costs**

Financial performance

- In the short term, the **implementation of change** can be very **expensive** for several reasons:
  - An organisational **restructure** may involve significant redundancy payments as well as recruitment and training costs
  - **Market research** and **product development** require **investment**
  - Attracting **transformational leadership** to key roles will require attractive **salaries** to be offered
  - **Public relations** and **promotional activity** may be needed, especially where change is implemented as a result of poor performance
  - New **strategies** are likely to involve **capital expenditure**

- In the longer term, financial performance is likely to improve as change becomes the **new way of working** and as **teething problems** are overcome

Stakeholders

- Change can have **predictable** as well as **less obvious** impacts on the range of stakeholders

- Some changes, such as **seasonal fluctuations** or **cyclical economic factors**, can often be **planned for** and their impacts on stakeholders considered in advance
  - E.g. increased orders for barbecue products are very likely to be placed during the warmer summer months, so a supermarket will be able to liaise with **suppliers** ahead of time
  - A sudden "cold snap", on the other hand, is likely to be difficult for many fashion retailers, as they operate on a seasonal basis — **customers** may well be disappointed if they are unable to source warm clothing

- Significant **long-term change** is likely to involve a **wide range of stakeholders** at some level
  - E.g. following its takeover by Frasers Group plc, Debenhams stores were closed, and the brand moved online
  - This had far-reaching impacts on Debenhams' product range, organisational structure and supply chain
  - Thousands of **employees** were made redundant, rapid changes were made to the **management**

in prominent high street locations, impacting the retail environment in their towns, as well as reducing income from business rates

Examiner Tips and Tricks

The concept of change is rarely examined as a topic in its own right, yet understanding its implications and how businesses and their stakeholders plan and respond to change is vital.

Some of the following questions may be useful when considering changing external factors or strategic change coming from within the business:

- Does the change pose a threat or present an opportunity to the business?
- What can the business do to manage the threat or exploit the opportunity?
- How can competitive advantage be retained or created as a result of change?
- How are stakeholders likely to respond to the change?
- How may the problems change causes stakeholders be mitigated?

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